

TABLE IV.—COMPARATIVE CAPITALIZATION

Item	M. K. & T.	'Frisco
Equipment and underlying issues	\$ 7,248,000	\$ 86,782,000
Prior lien bonds	93,073,000	121,748,000
Adjustment bonds	57,500,000	39,220,000
Income bonds		35,192,000
Preferred stock	24,500,000	7,500,000
Common stock	783,155 shares (no par)	504,470 shares (par \$100)
Fixed interest charges	4,917,717	9,248,374
Contingent interest charges	2,875,000	4,750,912
Total interest charges	\$ 7,792,717	\$ 13,999,286

The above figures for St. Louis-San Francisco are taken from the last available report, as of December 31st, 1920. Those for M. K. & T. are based on the assumption that all the old securities are exchanged under the provisions of the Reorganization Plan. It is probable, however, that some of the present senior liens, especially the First 4s, due 1990, will still remain outstanding. In such event, the amount of the underlying bonds, as stated above, would be increased and that of Prior Lien issues decreased—the aggregate remaining practically unchanged. The prospects are that the fixed interest charges will actually amount to somewhat less than the total given in the Plan, since the company will save $\frac{1}{2}$ of 1% annually on such of the \$40,000,000 of 1st 4s as are not exchanged.

The “Contingent Interest Charges” represent the requirements of the Income and Adjustment Bonds, which need be paid only if earned. This elastic provision is a source of strength for both roads, as it will enable them to reduce their interest payments in critical years without financial disturbance.

TABLE V.—COMPARATIVE GROSS EARNINGS AND INTEREST
CHARGES PER MILE OPERATED

	M. K. & T.		'Frisco	
	Per mile	% of gross	Per mile	% of gross
Gross earnings*	\$16,870	100.0	\$16,730	100.0
Fixed interest	1,300	7.7	1,790	10.7
Contingent interest	760	4.5	920	5.5
Total interest	\$ 2,060	12.2	\$ 2,710	16.2

* 1921 figure, December estimated.